ECO401 Solved MCQ from Emails

"Decreases in aggregate demand decrease real output but leave the price level largely unaffected". This is the point of view of which of the following schools of thought?

► Monetarist school of thought.

► New Classical school of thought.

► Real business cycle school of thought.

► **Keynesian school of thought.**

(PS,vuzs)

The average propensity to consume is the ratio of:
Select correct option:

A change in consumption to a change in disposable income.
A change in consumption to total disposable income at a specific income level.
Total consumption to total disposable income at a specific income level.
Total consumption to a change in disposable income.
Reference (http://books.google.com.pk/books?id=AlfK6TLoDqEC&pg=PA105&lpg=PA105&dq=The+average+propensity+to+consume+is+the+ratio+of+Total+consumption+to+total+disposable+income+at+a+specific+income+level.&source=bl&ots=uevopVnSZ-&sig=ocAgr8l6to4NPG9qpT1Q5Vp3Yqg&hl=en&ei=3AVvS7jAH4-TkAWxjfTTBw&sa=X&oi=book_result&ct=result&resnum=6&ved=0CBoQ6AEwBQ#v=onepage&q=The%20average%20propensity%20to%20consume%20is%20the%20ratio%20of%20Total%20consumption%20to%20total%20disposable%20income%20at%20a%20specific%20income%20level.&f=false)

It measures the percentage change in demand given a percentage change in consumer's income.
Select correct option:
Price elasticity of demand
Income elasticity of demand
Supply price elasticity
Cross price elasticity

Which of the following concepts apply to oligopoly more than to any other market structure?
Select correct option:
Advertising and product differentiation
Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence

Goods produced by oligopolistic industries are typically:
Select correct option:
Standardized
Differentiated
Differentiated if industrial goods
Differentiated if consumer goods

Many industrial goods produced by oligopolies are standardized--copper, zinc, and steel, for example. Oligopolistic consumer goods industries are typically differentiated and are characterized by substantial advertising

(NDP), start with Gross Domestic Product and subtract:

- **► Depreciation.**
- **► Depreciation and indirect business taxes.**
- **► Depreciation, indirect business taxes and corporate profits.**
- **► Depreciation, indirect business taxes, corporate profits and social insurance contributions**

REF:

Net domestic product = NDP = GDP – depreciation.
National income = NDP – statistical discrepancy + NFFI.
Personal income = national income - taxes on production and imports – social security contributions – corporate profits tax and undistributed profits + transfer payments (like social security income).
Disposable income = personal income – personal taxes and can be either consumed or saved.
Note from definition of disposable income that disposable income + personal Taxes = personal income